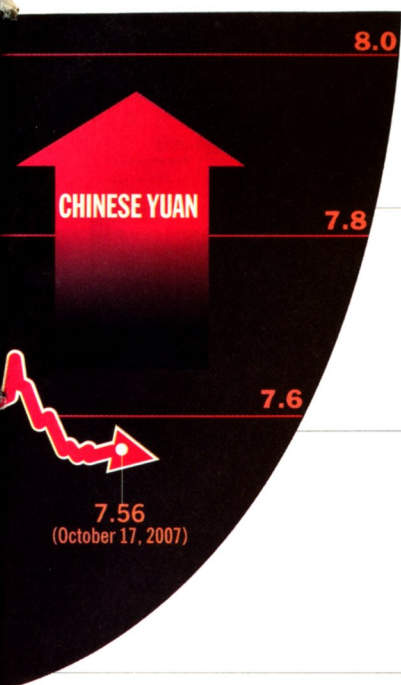




WHY THE RUPEE IS RISING

DOLLAR INFLOWS: Investors chase emerging markets like India in search of growth. Foreign portfolio investments in Indian shares have jumped \$4.9 billion this month, taking the total in 2007 to a record \$17.9 billion. Add to this \$16 billion which came in as FDI in 2007, as against \$5.5 billion in 2005. Thanks to rising inflows, the RBI has already mopped up over \$40 billion this year.

POSITIVE IMPACT OF THE RUPEE RISING

CHEAPER CRUDE: While oil imports grew by 19.5 per cent in dollar terms in August, their growth rate during April-August was just 8.3 per cent, highlighting how the recent increase in crude prices has been offset by the rupee rise. **LOWER INFLATION:** Non-oil imports in the April to June quarter increased 44 per cent to \$52.5 billion, reducing prices of goods and inflation rates to 3.5 per cent.

NEGATIVE IMPACT OF THE RUPEE RISING

EXPORT SLOWDOWN: Exports growth slowed down to 18.5 per cent in July 2007 as compared to 25 per cent in July 2006. Worse, exports in rupee terms have slowed down to 3.9 per cent. **JOB CUTS:** Export town Tirupur saw 7,000 people retrenched, 80 lakh jobs in India could be cut by March 2008. **SMALL IT COS HIT:** A rising rupee, MAT and service tax on property lease has made small units unviable.

he earned Rs 4,400, in October the same pair got him only Rs 3,950—a loss of over Rs 450. He can't increase prices because contracts are drawn on a long-term basis and any hike could mean a loss of business.

What makes the situation worse is that while the rupee has rocketed 12 per cent against the dollar, competing currencies haven't. The Chinese yuan, for instance, has appreciated by only 3.6 per cent, Pakistani rupee by 0.3 per cent and the Bangladeshi taka by 3.2 per cent, while the Sri Lankan rupee has depreciated by 4.6 per cent making Indian exports dearer since January 2007. Export growth during April-June 2007 slackened to 18.11 per cent compared to a growth of 32.4 per cent during the same period last year. The president of the Federation of Indian Export Organisations (FIEO), Ganesh Kumar Gupta says, "Lowering the exports target from \$160 billion to \$140 billion (Rs 5,54,260 crore) is inevitable in view of the strengthening rupee. The country will



"The government can sign the totalisation agreement with the United States."

KRIS GOPALAKRISHNAN, CEO, INFOSYS

not be able to achieve the target if the Government does not offer more supportive measures to exporters."

India's coveted IT and ITES industries, which account for exports worth \$40 billion (Rs 1,58,360 crore), have lost Rs 16,000 crore in revenues as their realisations have decreased by 12 per cent. Commenting on the rapid appreciation in the rupee, Kris Gopalakrishnan, CEO of Infosys Technologies, says, "If we annualise its impact, we stand to lose Rs 2,000 crore." This is despite the fact that large companies like Infosys hedge their dollar risks and have a diversified business model. Smaller IT companies and BPOs have already raised the alarm as they go into the red. The imposition of MAT (Minimum Alternative Tax) and service tax has

further worsened matters for them, says Nasscom President Kiran Karnik.

While the dollar's crash has endangered industries like IT, sectors like auto will have to cut short their dreams of making India an export hub for small cars. For instance, the largest automobile exporter from India, Hyundai has invested over \$1.3 billion (Rs 5,146 crore) in building a new plant, so India could become its hub for small car exports. However, the rising rupee will hit the company by over Rs 156 crore. If the rupee keeps rising, the company plans to whittle down its exports from India. Says Arvind Saxena, vice-president, marketing and sales, Hyundai Motor India, "We will meet our target of exporting 1.13 lakh cars this year but we are losing money substantially. Our pricing is going haywire." The automaker has approached the government to bail it out.

Caught between high interest rates on one hand and the rising rupee on the other, export units have shelved expansion plans and a large number of



"The government should consider graded incentives based on the volume of exports."

ARVIND SAXENA, VP, SALES, HYUNDAI MOTOR INDIA